

Czechia

Office for the Protection of Competition

I. Project Datacros II

The Office is constantly trying to improve its methods, find new and more efficient ways of detection by testing different tools, software etc., keep up with the increasingly sophisticated practices of undertakings.

We are trying to create detection methods for use in practice, we have staff who focus directly on this issue. The Office has previously participated in a project in which a program for downloading data from the Public Procurement Portal was created, and seeks to improve and explore other detection options. For example, we are currently focusing on the extension of the input database for bid rigging detection, the creation of more advanced tests for detection, based on econometric tests and machine learning algorithms. That is why we participated in the project Datacros II. We saw in it the potential to improve the detection of prohibited agreements. We have tested this project in practice and evaluate it positively.

The University Cattolica del Sacro Cuore within which this project originated has submitted an application for Datacros III to the Commission. The project should be extended to other entities. The specific objectives of DATAACROS III will be to i) expand the scope of the current DATAACROS data ecosystem, ii) implement AI - driven advanced analytics functions, iii) pilot the tool-box in operational use-cases, iv) establish a multi-stakeholder cooperation and training platform and v) assess the potential benefits and constraints of the use of AI tools in organized crime and financial crime.

The main goal of Datacros III will be to develop an empowered AI-driven risk assessment and investigative tool-box, which will boost the capacity of a wide variety of public authorities (including competition authorities) to investigate organized crime networks and their business models across a variety of financial domains and criminal assets.

II. Program Nuix

The Office uses forensic program NUIX, installed on its own devices (laptops), to search mailboxes during dawn raids. It has had positive experiences with this tool.

The investigation itself is carried out as follows. The undertaking's mailboxes are imported into this program and searched. However, the search method is always chosen to ensure the highest possible efficiency and speed of the search. Therefore, if it is more efficient to search the undertaking's mailboxes directly in his device, the search is carried out in the device.

III. Strategy for the digitization of public procurement (Ministry of Regional Development)

This strategy, which is underway at the Ministry of Regional Development, is based on the need of the Czech Republic to address the information support of the public investment process in a systematic way and in connection with the development of eGovernment in the Czech Republic and the EU. For the period 2022 to 2030, the main mission of the development of the digitization of public procurement is primarily:

- simple and efficient public procurement and bidding,
- maximum transparency of the public procurement market and openness of systems,
- promoting innovative and correct e-procurement.

In order to maximize the circulation of data, the historical IS (Public Procurement Portal, Public Procurement Information System) have been rebuilt. The modification was related to machine-readable data, changes in legislation, etc. The Ministry of Regional Development also plans to create a data link to one database where the Office will have access.

IV. Bid rigging e-learning project

Bid rigging is one of the most serious competition law violations, and it is generally estimated that a bid rigging cartel will increase the price of the goods (services or works) sought by 10 to 50%. Over ten percent of the gross domestic product of the Czech Republic (in the order of hundreds of billions of crowns) is invested in public procurement every year. Equally problematic is the fact that bid rigging is often associated with other offences (especially corruption), is usually well and long-term organized, and may appear to be part of fair competition. The role of contracting authorities is crucial for detecting possible bid rigging agreements, as they can both (i) prevent bid rigging agreements and (ii) detect bid rigging

agreements and subsequently inform the Office of their suspicions. The Office has therefore developed an e-learning tool on bid rigging and offers it as part of its training to contracting authorities.

Contracting authorities will learn in particular:

- why bid rigging is so harmful;
- what are the manifestations of bid rigging;
- how bid rigging can be detected;
- bid rigging in the practice of the Office (best practices);
- why the role of contracting authorities is crucial—what to do if bid rigging is suspected;
- the possibilities for private enforcement of damages.

The project was developed in the online tool Canva, using Google forms to process the tests, and therefore required very low costs, given the Office's budget.